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Self-examination questions

I Multiple choice questions

Choose the correct answer

1. Main objective of preparing ledger account is to
   (a) Ascertain the financial position
   (b) Ascertain the profit or loss
   (c) Ascertain the profit or loss and the financial position
   (d) Know the balance of each ledger account
2. The process of transferring the debit and credit items from journal to ledger accounts is called
   (a) Casting (b) Posting (c) Journalising (d) Balancing
3. J.F means
   (a) Ledger page number (b) Journal page number
   (c) Voucher number (d) Order number
4. The process of finding the net amount from the totals of debit and credit columns in a ledger is known as
   (a) Casting (b) Posting (c) Journalising (d) Balancing
5. If the total of the debit side of an account exceeds the total of its credit side, it means
   (a) Credit balance (b) Debit balance
   (c) Nil balance (d) Debit and credit balance
6. The amount brought into the business by the proprietor should be credited to
   (a) Cash account (b) Drawings account
   (c) Capital account (d) Suspense account

Answers

1 (d)	2 (b)	3 (b)	4 (d)	5 (b)	6 (c)

II Very short answer questions

1. What is a ledger?
2. What is meant by posting?
3. What is debit balance?
4. What is credit balance?
5. What is balancing of an account?

III Short answer questions

1. Distinguish between journal and ledger.
2. What is ledger? Explain its utilities.
3. How is posting made from the journal to the ledger?
4. Explain the procedure for balancing a ledger account.